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Chapter 6

Accounts Payable Overview



Introduction

The system has been developed to satisfy growing customer requirements and take full advantage of constant advances in technology with a family of high quality software products; products which combine innovative and advanced techniques with practical and pragmatic facilities; products which will solve a wide range of business problems quickly and easily.

The Accounts Payable module maintains full details of all supplier-related liabilities from receipt, giving tighter control of external expenses and improved cash management. The following are some of the main features available to you when you use the Accounts Payable module:

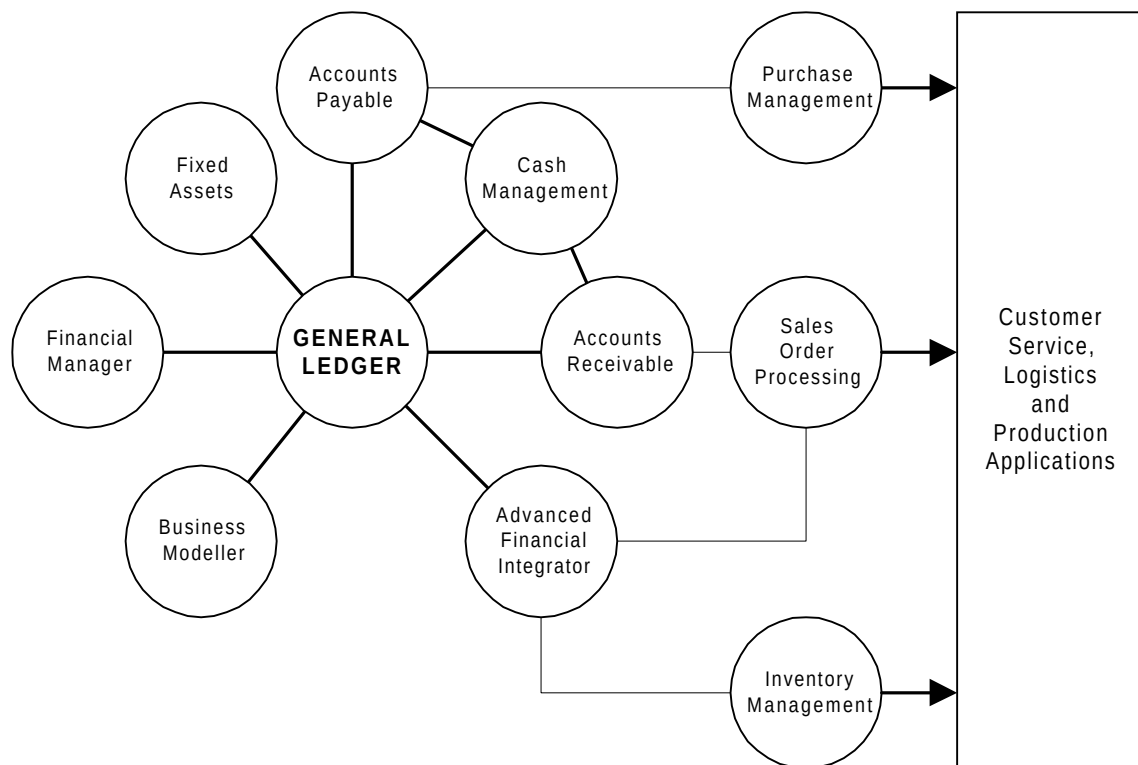
- Accounts Payable is completely integrated with the other Finance, Purchase Order Management and Inventory Management modules.
- Multiple companies are supported.
- The module fully supports processing in multiple currencies: transactions in any number of currencies can be posted to a single account.
- The module is designed for multi-national use, and all accounting procedures can be set to work in accordance with local accounting practices and regulations.
- Extensive free-format text stores notes and queries for suppliers and transactions.
- An extremely flexible method of defining payment terms allows payments to be spread as required. All terms can be defined at company, supplier or payment level.
- Revaluation facilities for open currency items are provided for both 'what if' purposes and to generate General Ledger journals.
- The invoice register includes an authorisation procedure and accrual reports.
- Transactions are accepted from manual entry, Purchase Management or a user written module.
- A flexible payment cycle includes: selection criteria, on-line amendment and release for payment. It will also allow multiple bank accounts and currencies to be processed simultaneously, payment sequencing by descending balance and part payments.
- A wide range of flexible enquiries and reports give visibility of all supplier and transaction details. These cater fully for single and multiple currency accounts and transactions.

The module will support payment by collection document (formerly known as a bill of exchange).

The Accounts Payable Module Environment

Financial Management

Addressing all the needs of production, distribution and financial management, the range of modules is illustrated below:



Financial Management is a suite of comprehensive and fully integrated applications which may be considered as a single financial management tool. It addresses specific business functions (such as debtor management) within a common framework. At its heart lies the General Ledger - collecting, organising and analysing all your company's financial information. The processing of invoices and other procedures are supported by the Accounts Payable, Accounts Receivable and Cash Management modules.

This module is designed to present information which is relevant, timely and accurate so as to support your operational procedures and your executive decisions within a framework which fully conforms to international legal and audit requirements.

Multi-National Accounting

A company trading only within its own national boundaries may set up a very straightforward set of single-currency ledgers, where all the multi-currency features are hidden.

For the international trading company, on the other hand, the system provides full multi-currency trading and accounting features in all relevant modules. Thus, you can process sales and purchase orders in any currency and hold bank accounts in any currency, with each account able to receive cash and make payments in any currency.

Each General Ledger company has a base currency, which is the common currency of all modules linked into it. All financial transactions, in whichever currency they are posted (known as the prime currency), are also expressed in this base currency.

Within Accounts Payable and Accounts Receivable, individual suppliers and customers may be single-currency or multi-currency. (For single-currency use, the multi-currency features are not displayed). For multi-currency customers and suppliers, you can post invoices in any valid currency, and receive or make payment in any currency. Resultant exchange gains and losses are fully accounted for. You can revalue debtor and creditor balances at any time in order to create unrealised gains and losses.

Finally, you can record ledger transactions in the prime (transaction) currency as well as in the base currency of the ledger. Translation procedures provide for the expression of base currency values in another currency, this being used primarily for reporting multi-national company results in a common currency.

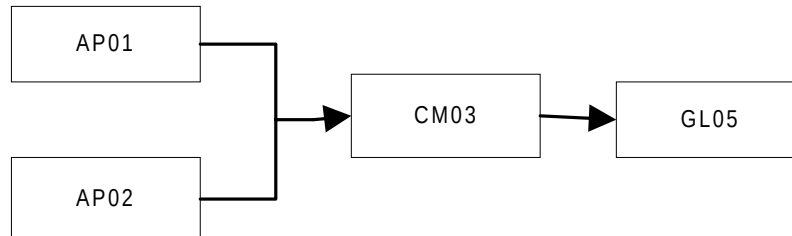
Three further features enhance the multi-national capability of the system:

- Language Translation provides facilities for translating report text and on-line Help text into your own language.
- VAT Accounting procedures are designed to meet the accounting and reporting requirements of most taxation authorities - and specifically those of the European Community.
- Application Parameters allow you to set up and use only those features appropriate to your needs.

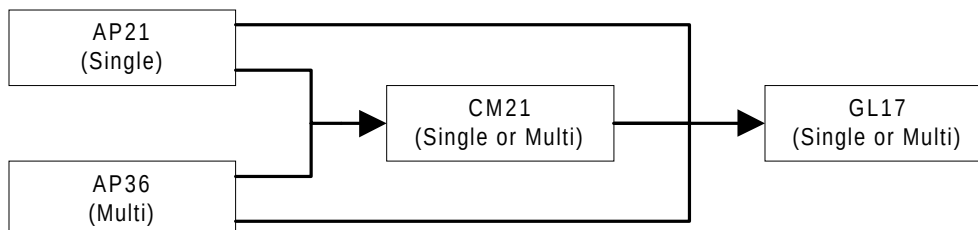
Multi-company Accounting Environment

Each accounting company is controlled by its General Ledger. You can have multiple Accounts Payable, Accounts Receivable and Cash Management companies.

You can create two types of company structure:



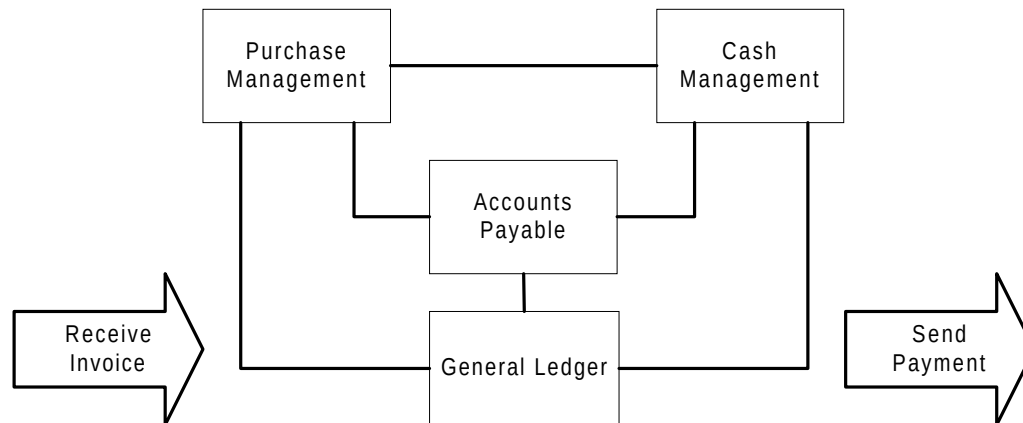
- Simple - This structure (diagram above) meets the complete accounting requirements of a company trading in its own local currency. Single currency Accounts Payable companies link to a single currency General Ledger, via Cash Management.
- Comprehensive - This structure (next diagram) is used where the company has multi-currency suppliers. The Payable company and its linked Cash Management company must both link to the same General Ledger.



Note: Single currency and multi-currency Accounts Payable and Accounts Receivable companies can be linked to single currency or multi-currency Cash Management companies in any combination. The General Ledger company to which they are all linked can itself be single or multi-currency.

Links to Other Applications

Accounts Payable is at its most effective when implemented as part of a full suite of modules:



Purchase Order Management manages orders placed on suppliers, from the originating requirement (itself possibly derived from other modules) to the receipt of the goods or service. It includes matching the supplier's invoice to the receipt. If needed, it draws on the currency data held by the General Ledger.

Cash Management is used to make the actual payment to the supplier, when payment has been authorised. Methods of payment include cheques, automatic bank transfers and bills of exchange (now generally referred to as collection documents). Multi-currency payments rely on currency data held by the General Ledger, to which appropriate journals are also posted.

General Ledger is the repository for collecting, organising and analysing all your company's financial information. It also includes multi-currency exchange rates and VAT data used by Accounts Payable.

Standard Interface

A standard interface is available from your software supplier if you need to link data from any non-JBA application into General Ledger.

Essentially, it requires the external application to create work files containing the transaction, in the required format. The interface procedure then validates the transactions, posts them to the General Ledger, and produces an audit report.

Please refer to your software supplier for more information about this facility.

Entering Basic Data



You must initialise your module by entering the following basic data:

Company Profile

This is a record which contains control and parameter information for the operation of your company within the module.

Supplier Accounts

Accounts to which transactions are posted. When the basic data has been created you are in a position to enter transactions.

Reason Codes

Codes which identify the reasons for credit note and journal transaction postings to the General Ledger.

Location Codes

Codes which show where a log item is to be sent for authorisation.

Starting to Use Accounts Payable

When you have set up the basic data you can start using the Accounts Payable module.

If you have an existing computer system it may be possible to commission a computer-to-computer conversion to transfer supplier data and transactions across to the Accounts Payable module. This is the preferred approach. The following are alternative methods of transferring your existing system data.

- Use your existing accounts system to reduce existing supplier account balances to nil. At the same time you can post new invoices to the application. You would probably need to operate both systems for several financial periods.
- Transfer the existing supplier balances to the application as a single transaction. You will need an analysis report of the details of outstanding balances for the posting of payments and dealing with queries. Once you have transferred all the balances you should continue to operate the old system to reduce balances to nil and to validate the procedures on your new application.
- If you do not have too many outstanding transactions on your existing system you could transfer each item to the application. Bear in mind that even for a small system this can be a time consuming task. Whichever method you choose to transfer your accounts, ensure that the value held in the General Ledger control account is equal to the sum of any balances transferred to your new application.
- When conducting this exercise most users do not concern themselves with entering transactions into the correct accounting periods. They usually enter transactions into the period prior to going live. However they do try to enter the original document date on the transaction so that the correct due date can be calculated by the system.
- When entering any opening balances into accounts payable is customary not to update your GL as the GL will have its own data entered. There are several ways to address this problem.
 - Post the transactions to your accounts payable system and update your live general ledger. Subsequently post to a GL ledger to reverse out the postings.
 - Back up the GL prior to accounts payable data entry, post the transactions and then restore the GL.
 - Copy the GL chart of accounts to another company and at accounts payable data entry link the live accounts payable company to the copy of the GL company via the accounts payable company profile. After entering the transactions re link your accounts payable company to the live GL company.
- Your software supplier will be able to advise you of the best approach to take.